Asia Pacific Equity Derivatives Strategy

Japan Thematic Rotation Trades Amid Yen Reversal Risk; Diversify into Korea Buybacks Amid AI/ Momentum Unwind

- **Japan Equity Hedges for a Potential USDJPY Reversal:** With USDJPY approaching our house 4Q26 target of 164, August looks like a key window for episodic yen-strength risk. **Rising JGB yields**, fuelled by BoJ ratehike expectations and fiscal uncertainty, have brought **renewed focus to GPIF's end-June holdings release on 7 August**, which could reinforce speculation that policymakers are encouraging greater domestic demand for JGBs as part of a broader effort to stabilize the rates market. Against a backdrop of elevated foreign ownership and crowded exposure to exporters and AI-related sectors, a USDJPY reversal could drive meaningful equity rotation. Historically, **Strong Yen (JPJBSYEN)** and **Importers (JPJBIMPO)** have been the most effective baskets in orderly yen-appreciation episodes, with both gaining as investors rotate toward more domestic and defensive exposures; in faster de-risking episodes such as the August 2024 carry unwind or April 2025 "Liberation Day," equity beta tends to dominate. We therefore prefer **zero-cost call spread collars on Strong Yen and Importers** to express an orderly USDJPY decline through thematic basket upside. We also reiterate our prior diversification idea of using a **TOPIX-over-Nikkei outperformance call contingent on lower USDJPY** to capture yen-led sector rotation away from AI/exporter leadership. For an August 2024-style tail-risk unwind, a best-of put on Nikkei/TOPIX contingent on lower USDJPY is the cleaner hedge.
- **Diversify into Korea Buyback Basket during Market Volatility: We reiterate our preference for the Korea buyback basket (JPKRBUBK) as a more defensive way to diversify in a volatile environment while staying aligned with Korea Value Up efforts**, with policy support building through the dividend tax cut and rising Value Up disclosures. Value Up is moving from signaling to execution, with shareholder return improvement through buybacks and treasury share cancellations. **Investors can consider long Korea buyback basket or buying a call spread collar on the basket to take advantage of elevated volatility.**

Global Equity Derivatives Strategy

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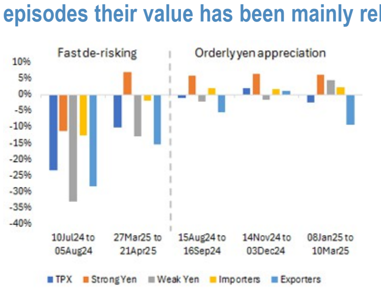
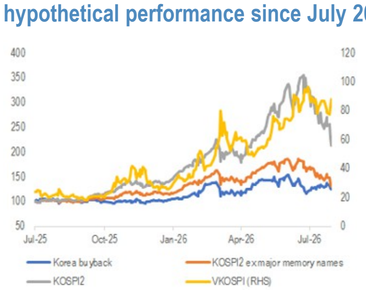
Figure 1: Strong Yen and Importers have worked best in orderly USDJPY declines, while in fast de-risking episodes their value has been mainly relative



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 2: The Korea buyback basket has shown resilience during the recent momentum unwind - hypothetical performance since July 2025



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Basket was introduced on June 25, 2026. Past performance is not indicative of future returns.

See page 22 for analyst certification and important disclosures.

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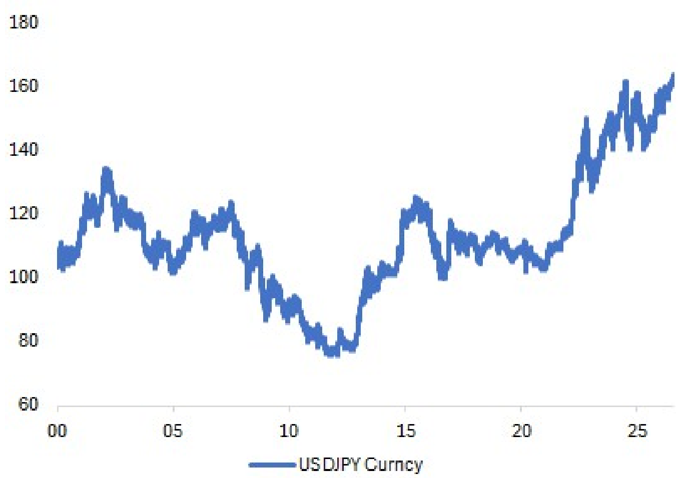
Japan Thematic Rotation Trades Amid Yen Reversal Risk

Why Consider Stronger Yen Risks?

With USD/JPY approaching our house **4Q26 target of 164**, we believe August represents an important risk window where the distribution of outcomes is **skewed towards episodic yen strength** rather than a continuation of recent depreciation.

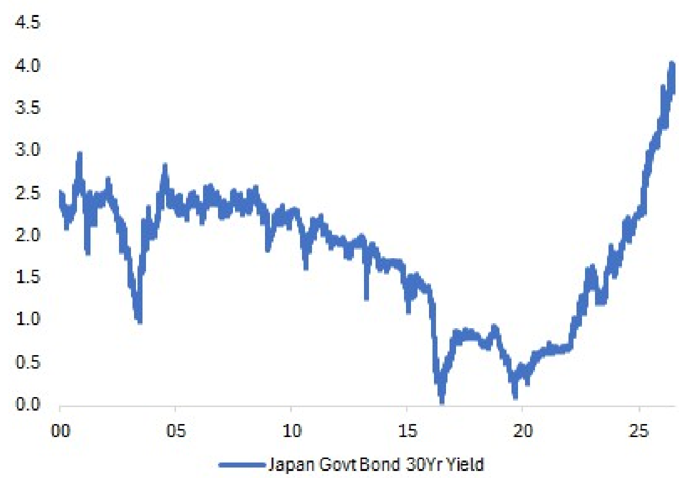
The shift in focus is being driven **more by developments in Japan's domestic rates market**. Japanese government bond yields have continued to move higher as expectations for further **Bank of Japan policy normalization** have increased, while **uncertainty surrounding the government's fiscal agenda** (see here), including the potential cost of new growth initiatives and discussion around consumption tax reductions, has added further upward pressure on long-end yields. Against this backdrop, market attention has increasingly shifted from the authorities' ability to stabilize the currency towards policies aimed at **containing the rise in government bond yields**.

Figure 3: With USDJPY approaching our house 4Q26 target of 164, August looks like a key window for episodic yen-strength risk



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 4: With JGB yields rising, market focus has shifted from currency stabilization to policies aimed at containing bond yields



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

This changing policy backdrop has also brought **renewed focus to GPIF** (see here and here). While the release of its end-June holdings on 7 August is not a strategic asset allocation review, investors are likely to scrutinize the data **for evidence of continued increases in domestic bond holdings**. Such an outcome would reinforce speculation that policymakers are encouraging greater domestic demand for JGBs as part of a broader effort to stabilize the rates market. In the most extreme scenario, our FX strategists estimate that a sustained reallocation towards domestic assets could **strengthen the yen by as much as 15 yen** against the US dollar (see here), although this represents a tail-risk scenario rather than our central expectation.

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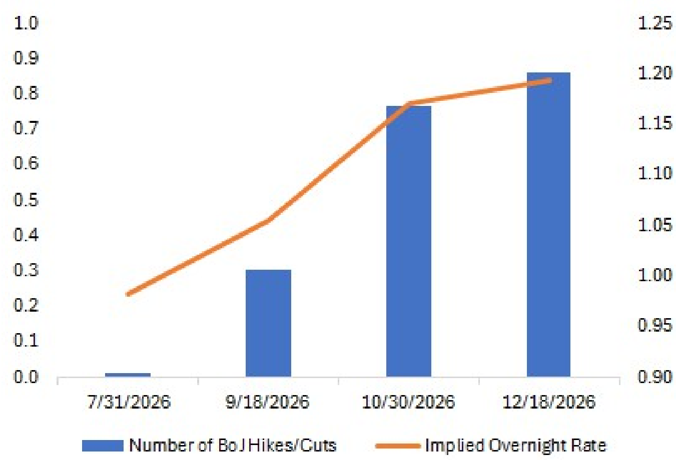
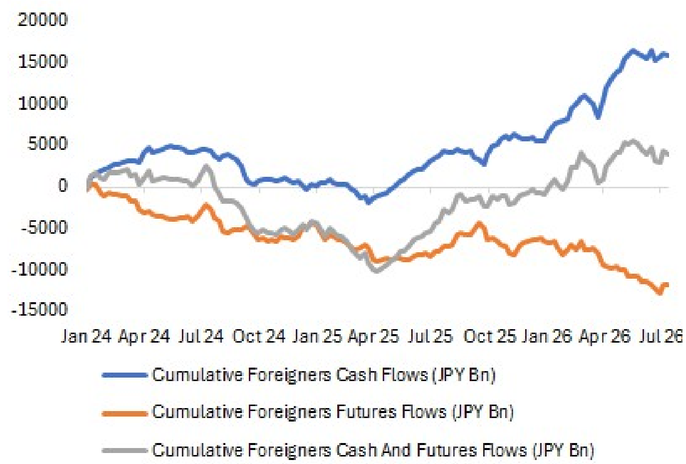
Figure 5: BoJ rate hike expectations have continued to fuel the rise in Japanese government bond yields



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 6: Foreign net buying of Japanese equities this year leaves the market more vulnerable to seasonal profit-taking



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

These macro developments come against **a backdrop of elevated foreign ownership of Japanese equities** and continued concentration in exporters and AI-related sectors. Although much of the seasonal momentum unwind occurred earlier than usual during the June and July correction, foreign investors remain meaningfully exposed to the Japanese market. A stronger yen would therefore likely coincide with further rotation within equities, particularly away from globally exposed exporters and towards domestically oriented companies.

The combination of renewed macro uncertainty and concentrated positioning naturally invites **comparisons with the August 2024 carry unwind**. We are not forecasting a repeat of that episode. Nevertheless, the combination of prolonged yen weakness, higher domestic yields and renewed policy speculation suggests that stronger-yen risks warrant closer attention over the coming weeks.

FX-sensitive Thematic Baskets

To evaluate potential equity implementations around changes in USDJPY, we focus on four **J.P. Morgan thematic baskets** together with index-level expressions. These baskets provide differentiated exposures to companies with varying degrees of sensitivity to exchange-rate movements and domestic versus overseas demand. Depending on market conditions, they can be used to express either stronger- or weaker-yen views. [1]

1. *Where a basket or index created by J.P. Morgan Sales & Trading has been referenced in this report, Bloomberg subscribers can use the relevant ticker to access tracking information. J.P. Morgan Research does not provide research coverage of these baskets or indices and investors should not expect continuous analysis or additional reports relating to them. Subscribers should be aware that the J.P. Morgan desk receives fees from trading in these products and there may be another non-J.P. Morgan product that represents the same theme. Please contact your J.P. Morgan salesperson or the relevant Sales & Trading Desk if you have any questions with regards to these products.*

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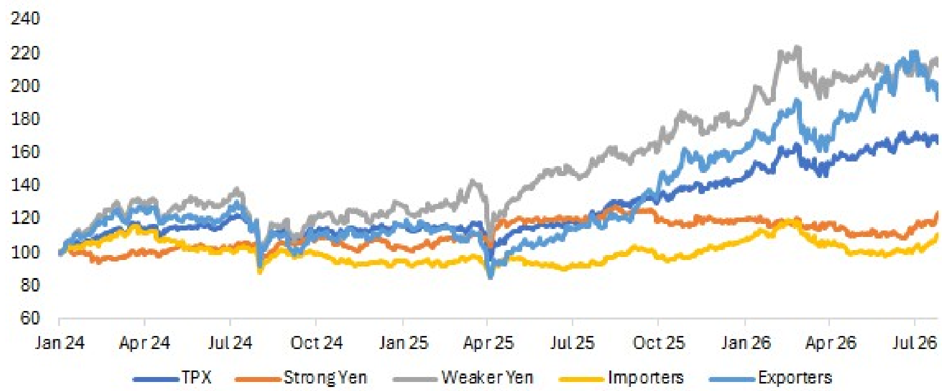
Figure 7: Performance of J.P. Morgan Japan FX-sensitive thematic baskets



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Past performance is not indicative of future returns.

Table 1: Comparing Japan FX-Sensitive Thematic Baskets

Name	TOPIX	Nikkei 225	Strong Yen	Weaker Yen	Importers	Exporters
Ticker	TPX	NKY	JPJBSYEN	JPJBWYEN	JPJBIMPO	JPJBEXPO
Number of stocks	1636	225	27	32	15	57
Japan Revenue Exposure	58%	51%	94%	60%	78%	33%
Overseas Revenue Exposure	42%	49%	6%	40%	22%	67%
Correlation vs USDJPY	13%	5%	-14%	15%	1%	14%
Beta vs USDJPY	0.25	0.13	-0.21	0.41	0.02	0.45
YTD Return	16.7%	23.3%	5.8%	20.6%	5.9%	19.4%
3M Realized Volatility	20.8%	35.5%	18.5%	20.8%	15.7%	36.4%
Largest Industry Group (Weight)						
1	Elec Appl (20%)	Elec Appl (37%)	Rtl Trade (31%)	Machinery (18%)	Foods (37%)	Elec Appl (32%)
2	Banks (12%)	Rtl Trade (12%)	Foods (19%)	Elec Appl (17%)	Iron&Steel (37%)	Trans Equip (14%)
3	Whsle Trd (8%)	Info & Comm (11%)	Services (17%)	Whsle Trd (13%)	Pulp&Paper (16%)	Machinery (13%)
4	Info & Comm (6%)	Chemicals (4%)	Info & Comm (15%)	Trans Equip (12%)	Rtl Trade (8%)	Chemicals (7%)
5	Machinery (6%)	Machinery (4%)	Whsle Trd (6%)	Insurance (12%)	Glass&Ceram (3%)	Pharma (6%)

Data as of July 28, 2026.
Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Strong Yen and Weak Yen

The **Strong Yen (JPJBSYEN)** and **Weak Yen (JPJBWYEN)** baskets are designed to capture companies whose earnings are expected to benefit from opposite currency regimes.

The **Strong Yen basket** consists of **27 stocks** and has historically exhibited a **negative correlation (-14%)** and **negative beta (-0.21)** to USDJPY, making it the basket with the strongest inverse relationship to yen weakness among our thematic universes. The basket generated a **5.8% YTD return** with **18.5% realised volatility** over the past three months. Constituents are predominantly domestically oriented, with approximately **94% of revenues generated within Japan**, and are concentrated in **Retail Trade (31%)**, **Foods (19%)** and **Services (17%)**.

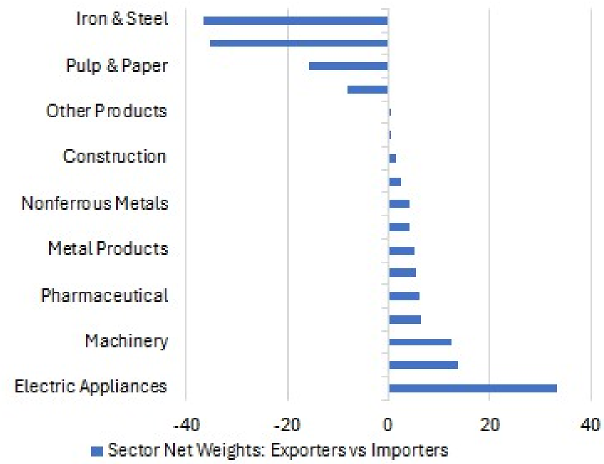
By comparison, the **Weak Yen basket** contains **32 stocks** and exhibits a **positive correlation (15%)** and **beta (0.41)** versus USDJPY, reflecting greater sensitivity to yen depreciation. The basket returned **20.6% YTD with 20.8% realised volatility**. Its industry composition is tilted towards internationally exposed sectors, with **Machinery (18%)**, **Electrical Appliances (17%)** and **Wholesale Trade (13%)** representing the largest industry groups. The basket derives **60% of its revenue from Japan**.

Relative-value strategies between **Weak Yen vs Strong Yen** also exhibit diversified industry exposures, with net overweight positions in **Machinery (+17.5%)** and **Electrical Appliances (+16%)**, offset by a net underweight in **Retail Trade (-24%)**.

Figure 8: Sector Net Weights: Weak Yen vs Strong Yen

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 9: Sector Net Weights: Exporters vs Importers



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Exporters and Importers

The **Exporters (JPJBEXPO)** and **Importers (JPJBIMPO)** baskets provide a more direct representation of companies that benefit from changes in Japan's external trade environment and are linked to shifts in market leadership during periods of currency appreciation or depreciation.

The **Importers basket** contains **15 stocks** and is considerably more domestically oriented, with approximately **78% of revenues generated within Japan**. The basket exhibits **near-zero correlation** and **beta** versus USDJPY. It has returned **5.9% YTD** with **15.7% realised volatility**, with the largest industry exposures in **Foods (37%)**, **Iron & Steel (37%)** and **Pulp & Paper (16%)**.

The **Exporters basket** comprises **57 stocks** and exhibits a **positive correlation (14%)** and **beta (0.45)** versus USDJPY. It has returned **19.4% YTD** with **36.4% realised volatility**, reflecting its concentration in higher-beta manufacturing sectors. Only around **33% of revenues are generated domestically**, with the basket heavily weighted towards **Electrical Appliances (32%)**, **Transportation Equipment (14%)** and **Machinery (13%)**, making it closely aligned with Japan's exporter and AI manufacturing complex.

Compared with the Weak Yen/Strong Yen framework, the Exporters/Importers baskets provide a stronger expression of equity rotation. Relative-value strategies between the two baskets carry a sizeable net overweight in **Electrical Appliances (+35%)** and net underweights in **Foods (-34%)** and **Iron & Steel (-36%)**, making them particularly relevant when changes in USDJPY coincide with broader rotation away from exporter and AI leadership.

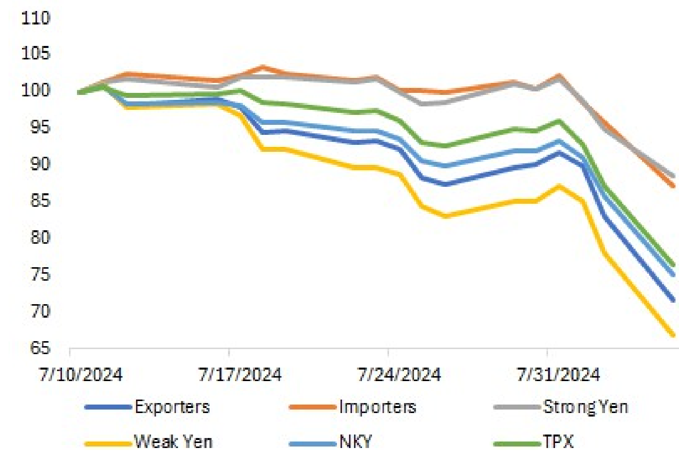
Performance During Previous Yen Strength Episodes

Across prior episodes, **Strong Yen** and **Importers** have been the most useful equity baskets for hedging a more orderly decline in USDJPY. In those periods, both baskets gained, consistent with their defensive domestic orientation and lower reliance on yen weakness as an earnings tailwind. By contrast, when USDJPY declines coincided with fast de-risking, such as the August 2024 carry unwind or the April 2025 "Liberation Day" episode, absolute performance weakened across these equity baskets. In those environments, the main benefit came through relative resilience: Strong Yen outperformed Weak Yen, and Importers outperformed Exporters, even when absolute returns were negative.

Figure 10: We focus on major USDJPY drawdowns since 2024, as they capture the fast reversal and de-risking dynamics investors want to hedge

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 11: During the August 2024 yen-strength episode, Importers and Strong Yen significantly outperformed Exporters, Weak Yen, and the broader market



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Fast de-risking episodes

Fast de-risking episodes are the most difficult environment for equity-based FX hedges. In these periods, yen appreciation typically reflects or reinforces broader risk reduction, deleveraging and position unwinds. As a result, equity market beta can dominate basket-level FX sensitivity.

The August 2024 carry unwind and **April 2025 "Liberation Day" episode** illustrate this dynamic. During these episodes, most baskets declined as yen strength coincided with broad equity weakness. **Strong Yen was the key exception**, and showing the most resilient absolute performance, providing the clearest equity hedge among the baskets. Strong Yen outperformed Weak Yen during these periods.

Importers also helped, but primarily on a relative basis. While Importers were not immune to the broader selloff, they outperformed Exporters during fast de-risking episodes. This relative resilience reflects the weaker yen sensitivity and more domestic cost/earnings profile of Importers, while Exporters were more exposed to the combined pressure of yen appreciation, global cyclicality and crowded positioning in manufacturing and AI-related sectors.

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Table 2: Strong Yen and Importers would have worked best in orderly USDJPY declines, while in fast de-risking episodes their value would have been mainly relative—Strong Yen outperforming Weak Yen and Importers outperforming Exporters

Period	Fast de-risking		Orderly yen appreciation		
Start	7/10/2024	3/27/2025	8/15/2024	11/14/2024	1/8/2025
End	8/5/2024	4/21/2025	9/16/2024	12/3/2024	3/10/2025
USDJPY	-10.8%	-6.7%	-5.8%	-4.3%	-7.0%
NKY	-24.8%	-9.3%	-0.4%	1.9%	-7.4%
TPX	-23.4%	-10.2%	-1.1%	1.9%	-2.5%
Strong Yen	-11.4%	6.8%	5.9%	6.4%	6.1%
Weak Yen	-33.1%	-12.8%	-2.2%	-1.6%	4.4%
Importers	-12.7%	-1.8%	1.9%	1.8%	2.2%
Exporters	-28.4%	-15.4%	-5.4%	1.1%	-9.4%
TPX vs NKY	1.4%	-0.9%	-0.7%	0.1%	4.9%
Strong Yen vs Weak Yen	21.8%	19.6%	8.2%	8.0%	1.6%
Importers vs Exporters	15.7%	13.6%	7.3%	0.7%	11.6%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Orderly yen appreciation

The performance profile was more constructive during orderly USDJPY declines, where yen appreciation occurred without a broad deleveraging shock.

This is the environment where **Strong Yen and Importers have been most effective as outright hedges**. Both baskets gained during orderly yen-strength episodes, making them useful tools for investors looking to protect against a controlled USDJPY decline rather than an abrupt risk-off unwind.

Strong Yen offers the cleaner FX hedge, in our view. Its negative sensitivity to USDJPY and concentration in more domestically oriented sectors make it well suited to a scenario where yen appreciation leads investors to rotate away from exporters and other yen-weakness beneficiaries. The basket's historical performance suggests that it can deliver positive returns when USDJPY declines in a more orderly fashion.

Importers also performed well during orderly yen appreciation. While Importers have less direct USDJPY beta than Strong Yen, their historical gains during orderly yen declines suggest they are a useful complementary hedge.

Trade Implementation

The choice of implementation depends on the yen scenario investors are looking to hedge. For a more orderly USDJPY decline, we prefer buying bullish structures linked to **Strong Yen** and **Importers**, as both baskets have historically gained during controlled yen-appreciation episodes. For a sharper risk-off move, similar to the August 2024 carry unwind, we think **best-of put on TOPIX and Nikkei conditional on USDJPY lower** are likely to provide cleaner tail-risk protection.

Call spread collars on Strong Yen and Importers

For a more orderly USDJPY decline, we prefer zero-cost call spread collars on **Strong Yen** and **Importers**. These structures are intended to provide upside exposure to baskets that have historically performed well during controlled yen-strength episodes, while limiting upfront premium.

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The **Strong Yen** basket (JPJBSYEN index) is the cleaner equity hedge for yen appreciation, given its negative sensitivity to USDJPY and defensive domestic profile.

- **JPJBSYEN Dec26 92% / 108% / 120% Call Spread Collar: offered at zero cost**

The **Importers** basket (JPJBIMPO index) provides a complementary expression of the same theme. While its direct USDJPY beta is lower than Strong Yen, Importers have historically gained during orderly yen declines and can benefit from sector rotation away from exporters.

- **JPJBIMPO Dec26 91.5% / 108% / 120% Call Spread Collar: offered at zero cost**

TOPIX outperforming Nikkei, conditional on lower USDJPY

For investors seeking a broader index-level implementation, we also reiterate our prior diversification idea of using a TOPIX-over-Nikkei outperformance call to capture yen-led sector rotation away from AI/exporter leadership (see here). This structure is intended to capture a more orderly USDJPY decline alongside sector rotation. The rationale is that yen strength could pressure Nikkei-heavy global exporters and growth/AI-related leadership, while TOPIX may prove more resilient given broader domestic and value exposure. Conditioning the payoff on USDJPY being below 97% of spot at maturity helps target the specific macro scenario and reduces premium relative to an unconditional outperformance option.

- **Dec26 5% TOPIX > Nikkei Outperformance Call contingent on USDJPY < 97% at maturity: offered at 1.25%**

Best-of put on TOPIX and Nikkei, conditional on lower USDJPY

For investors more concerned about an August 2024-style tail-risk unwind, we prefer a conditional best-of put on Japanese equity indices. This structure is designed to hedge a sharper yen appreciation episode that coincides with broad equity de-risking. In fast unwind scenarios, equity basket hedges can become less reliable in absolute-return terms because market beta overwhelms FX sensitivity. A best-of put on TOPIX and Nikkei provides more direct downside protection, while the USDJPY condition focuses the payoff on the specific scenario of yen strength accompanying equity weakness.

- **Dec26 95% Best-of Put on Nikkei and TOPIX contingent on USDJPY < 97% at maturity: offered at 2.05%**

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Appendix: Basket Compositions

Table 3: Japan StrongYen (JPJBSYEN Index) basket composition

Ticker	Name	GICS Sector	GICS Industry Group	Weights
3563 JT	Food & Life Cos Ltd	Consumer Discretionary	Consumer Services	14.63
2413 JT	M3 Inc	Health Care	Health Care Equipment & Servic	8.79
2269 JT	MEIJI Holdings Co Ltd	Consumer Staples	Food, Beverage & Tobacco	8.13
9434 JT	SoftBank Corp	Communication Services	Telecommunication Services	7.87
2502 JT	Asahi Group Holdings Ltd	Consumer Staples	Food, Beverage & Tobacco	6.94
6532 JT	BayCurrent Inc	Industrials	Commercial & Professional Serv	6.70
9468 JT	Kadokawa Corp	Communication Services	Media & Entertainment	6.48
3391 JT	Tsuruha Holdings Inc	Consumer Staples	Consumer Staples Distribution	5.12
3038 JT	Kobe Bussan Co Ltd	Consumer Staples	Consumer Staples Distribution	4.83
9843 JT	Nitori Holdings Co Ltd	Consumer Discretionary	Consumer Discretionary Distrib	4.79
3349 JT	Cosmos Pharmaceutical Corp	Consumer Staples	Consumer Staples Distribution	3.17
4967 JT	Kobayashi Pharmaceutical Co Lt	Consumer Staples	Household & Personal Products	2.87
2871 JT	Nichirei Corp	Consumer Staples	Food, Beverage & Tobacco	2.50
4922 JT	Kose Holdings Corp	Consumer Staples	Household & Personal Products	2.30
9989 JT	Sundrug Co Ltd	Consumer Staples	Consumer Staples Distribution	2.11
1959 JT	Kraftia Corp	Industrials	Capital Goods	1.94
2127 JT	Nihon M&A Center Holdings Inc	Financials	Financial Services	1.78
7616 JT	Colowide Co Ltd	Consumer Discretionary	Consumer Services	1.37
4887 JT	Sawai Group Holdings Co Ltd	Health Care	Pharmaceuticals, Biotechnology	1.30
7164 JT	Zenkoku Hosho Co Ltd	Financials	Financial Services	1.23
4733 JT	OBIC Business Consultants Co L	Information Technology	Software & Services	1.05
4521 JT	Kaken Pharmaceutical Co Ltd	Health Care	Pharmaceuticals, Biotechnology	0.94
2229 JT	Calbee Inc	Consumer Staples	Food, Beverage & Tobacco	0.91
6849 JT	Nihon Kohden Corp	Health Care	Health Care Equipment & Servic	0.88
3360 JT	Ship Healthcare Holdings Inc	Health Care	Health Care Equipment & Servic	0.60
7947 JT	FP Corp	Materials	Materials	0.45
7476 JT	As One Corp	Health Care	Health Care Equipment & Servic	0.33

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

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Table 4: Japan WeakYen (JPJBWYEN Index) basket composition

Ticker	Name	GICS Sector	GICS Industry Group	Weights
6723 JT	Renesas Electronics Corp	Information Technology	Semiconductors & Semiconducto	6.73
8306 JT	Mitsubishi UFJ Financial Group	Financials	Banks	6.16
9983 JT	Fast Retailing Co Ltd	Consumer Discretionary	Consumer Discretionary Distrib	5.96
8766 JT	Tokio Marine Holdings Inc	Financials	Insurance	5.95
8630 JT	Sompo Holdings Inc	Financials	Insurance	5.69
8058 JT	Mitsubishi Corp	Industrials	Capital Goods	5.67
6301 JT	Komatsu Ltd	Industrials	Capital Goods	5.66
7012 JT	Kawasaki Heavy Industries Ltd	Industrials	Capital Goods	5.21
8015 JT	Toyota Tsusho Corp	Industrials	Capital Goods	5.06
1605 JT	Inpex Corp	Energy	Energy	4.72
7013 JT	IHI Corp	Industrials	Capital Goods	4.16
7011 JT	Mitsubishi Heavy Industries Lt	Industrials	Capital Goods	4.11
7751 JT	Canon Inc	Information Technology	Technology Hardware & Equipme	3.94
7201 JT	Nissan Motor Co Ltd	Consumer Discretionary	Automobiles & Components	3.68
6701 JT	NEC Corp	Information Technology	Software & Services	3.46
2768 JT	Sojitz Corp	Industrials	Capital Goods	2.67
7261 JT	Mazda Motor Corp	Consumer Discretionary	Automobiles & Components	2.24
5334 JT	Niterra Co Ltd	Consumer Discretionary	Automobiles & Components	2.20
5101 JT	Yokohama Rubber Co Ltd/The	Consumer Discretionary	Automobiles & Components	2.14
6141 JT	DMG Mori Co Ltd	Industrials	Capital Goods	2.01
6305 JT	Hitachi Construction Machinery	Industrials	Capital Goods	1.88
6841 JT	Yokogawa Electric Corp	Information Technology	Technology Hardware & Equipme	1.72
5406 JT	Kobe Steel Ltd	Materials	Materials	1.71
8233 JT	Takashimaya Co Ltd	Consumer Discretionary	Consumer Discretionary Distrib	1.30
3289 JT	Tokyu Fudosan Holdings Corp	Real Estate	Real Estate Management & Devel	1.19
7211 JT	Mitsubishi Motors Corp	Consumer Discretionary	Automobiles & Components	1.08
5929 JT	Sanwa Holdings Corp	Industrials	Capital Goods	0.87
9301 JT	Mitsubishi Logistics Corp	Industrials	Transportation	0.76
5444 JT	Yamato Kogyo Co Ltd	Materials	Materials	0.66
6951 JT	Jeol Ltd	Information Technology	Technology Hardware & Equipme	0.65
6966 JT	Mitsui High-Tec Inc	Information Technology	Semiconductors & Semiconducto	0.50
6457 JT	Glory Ltd	Industrials	Capital Goods	0.25

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Table 5: Japan Importers (JPJBIMPO Index) basket composition

Ticker	Name	GICS Sector	GICS Industry Group	Weights
5406 JT	Kobe Steel Ltd	Materials	Materials	13.05
5401 JT	Nippon Steel Corp	Materials	Materials	12.25
3861 JT	Oji Holdings Corp	Materials	Materials	11.78
5411 JT	JFE Holdings Inc	Materials	Materials	11.48
2579 JT	Coca-Cola Bottlers Japan Holdi	Consumer Staples	Food, Beverage & Tobacco	9.00
9843 JT	Nitori Holdings Co Ltd	Consumer Discretionary	Consumer Discretionary Distrib	8.29
2282 JT	NH Foods Ltd	Consumer Staples	Food, Beverage & Tobacco	7.97
2871 JT	Nichirei Corp	Consumer Staples	Food, Beverage & Tobacco	7.29
2212 JT	Yamazaki Baking Co Ltd	Consumer Staples	Food, Beverage & Tobacco	7.13
3863 JT	Nippon Paper Industries Co Ltd	Materials	Materials	2.94
5232 JT	Sumitomo Osaka Cement Co Ltd	Materials	Materials	2.75
2296 JT	Itoham Yonekyu Holdings Inc	Consumer Staples	Food, Beverage & Tobacco	2.32
2229 JT	Calbee Inc	Consumer Staples	Food, Beverage & Tobacco	2.08
3880 JT	Daio Paper Corp	Materials	Materials	1.02
2281 JT	Prima Meat Packers Ltd	Consumer Staples	Food, Beverage & Tobacco	0.65

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

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Table 6: Japan Exporters (JPJBEXPO Index) basket composition

Ticker	Name	GICS Sector	GICS Industry Group	Weights
3436 JT	SUMCO Corp	Information Technology	Semiconductors & Semiconducto	5.13
7735 JT	SCREEN Holdings Co Ltd	Information Technology	Semiconductors & Semiconducto	5.04
6976 JT	Taiyo Yuden Co Ltd	Information Technology	Technology Hardware & Equipme	4.50
8035 JT	Tokyo Electron Ltd	Information Technology	Semiconductors & Semiconducto	4.13
5803 JT	Fujikura Ltd	Industrials	Capital Goods	3.60
6301 JT	Komatsu Ltd	Industrials	Capital Goods	3.21
4502 JT	Takeda Pharmaceutical Co Ltd	Health Care	Pharmaceuticals, Biotechnology	3.20
8053 JT	Sumitomo Corp	Industrials	Capital Goods	3.17
6857 JT	Advantest Corp	Information Technology	Semiconductors & Semiconducto	3.07
4063 JT	Shin-Etsu Chemical Co Ltd	Materials	Materials	3.01
6762 JT	TDK Corp	Information Technology	Technology Hardware & Equipme	2.94
6367 JT	Daikin Industries Ltd	Industrials	Capital Goods	2.93
4503 JT	Astellas Pharma Inc	Health Care	Pharmaceuticals, Biotechnology	2.79
6954 JT	FANUC Corp	Industrials	Capital Goods	2.67
5108 JT	Bridgestone Corp	Consumer Discretionary	Automobiles & Components	2.61
7267 JT	Honda Motor Co Ltd	Consumer Discretionary	Automobiles & Components	2.60
6506 JT	Yaskawa Electric Corp	Industrials	Capital Goods	2.49
7203 JT	Toyota Motor Corp	Consumer Discretionary	Automobiles & Components	2.42
7751 JT	Canon Inc	Information Technology	Technology Hardware & Equipme	2.36
8015 JT	Toyota Tsusho Corp	Industrials	Capital Goods	2.33
7269 JT	Suzuki Motor Corp	Consumer Discretionary	Automobiles & Components	2.20
6758 JT	Sony Group Corp	Consumer Discretionary	Consumer Durables & Apparel	2.07
7003 JT	Mitsui E&S Co Ltd	Industrials	Capital Goods	1.93
6326 JT	Kubota Corp	Industrials	Capital Goods	1.89
4543 JT	Terumo Corp	Health Care	Health Care Equipment & Servic	1.78
7201 JT	Nissan Motor Co Ltd	Consumer Discretionary	Automobiles & Components	1.78
6988 JT	Nitto Denko Corp	Materials	Materials	1.72
7272 JT	Yamaha Motor Co Ltd	Consumer Discretionary	Automobiles & Components	1.51
7270 JT	Subaru Corp	Consumer Discretionary	Automobiles & Components	1.50
7261 JT	Mazda Motor Corp	Consumer Discretionary	Automobiles & Components	1.27
5333 JT	NGK Corp	Industrials	Capital Goods	1.25
2801 JT	Kikkoman Corp	Consumer Staples	Food, Beverage & Tobacco	1.25
6305 JT	Hitachi Construction Machinery	Industrials	Capital Goods	1.20
7733 JT	Olympus Corp	Health Care	Health Care Equipment & Servic	1.19
4005 JT	Sumitomo Chemical Co Ltd	Materials	Materials	1.08
5201 JT	AGC Inc	Industrials	Capital Goods	1.04
6479 JT	MINEBEA MITSUMI Inc	Industrials	Capital Goods	0.93
1963 JT	JGC Holdings Corp	Industrials	Capital Goods	0.84
6841 JT	Yokogawa Electric Corp	Information Technology	Technology Hardware & Equipme	0.79
6724 JT	Seiko Epson Corp	Information Technology	Technology Hardware & Equipme	0.66
3405 JT	Kuraray Co Ltd	Materials	Materials	0.64
7752 JT	Ricoh Co Ltd	Information Technology	Technology Hardware & Equipme	0.63
5214 JT	Nippon Electric Glass Co Ltd	Information Technology	Technology Hardware & Equipme	0.62
7211 JT	Mitsubishi Motors Corp	Consumer Discretionary	Automobiles & Components	0.60
7731 JT	Nikon Corp	Consumer Discretionary	Consumer Durables & Apparel	0.58
6366 JT	Chiyoda Corp	Industrials	Capital Goods	0.58
7762 JT	Citizen Watch Co Ltd	Information Technology	Technology Hardware & Equipme	0.54
6770 JT	Alps Alpine Co Ltd	Information Technology	Technology Hardware & Equipme	0.54
5714 JT	Dowa Holdings Co Ltd	Materials	Materials	0.49
6471 JT	NSK Ltd	Industrials	Capital Goods	0.48
6473 JT	JTEKT Corp	Consumer Discretionary	Automobiles & Components	0.46
7951 JT	Yamaha Corp	Consumer Discretionary	Consumer Durables & Apparel	0.40
4902 JT	Konica Minolta Inc	Information Technology	Technology Hardware & Equipme	0.33
5202 JT	Nippon Sheet Glass Co Ltd	Industrials	Capital Goods	0.33
6472 JT	NTN Corp	Industrials	Capital Goods	0.31
6952 JT	Casio Computer Co Ltd	Consumer Discretionary	Consumer Durables & Apparel	0.22
5541 JT	Pacific Metals Co Ltd	Materials	Materials	0.20

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

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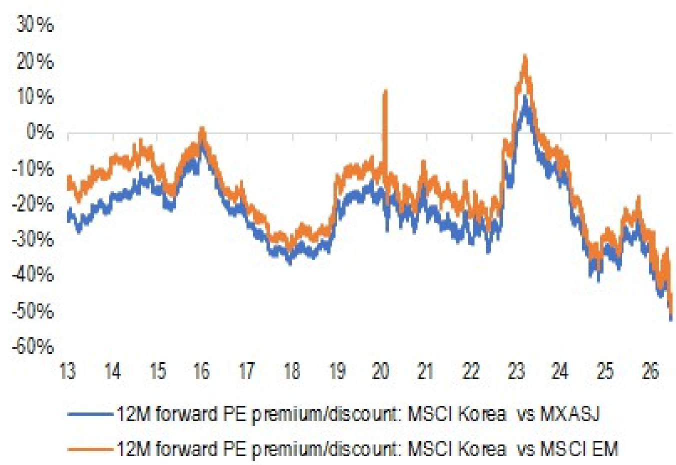
Diversify into Korea Buyback Basket during Market Volatility

We previously highlighted the **Korea buyback basket (JPKRBUBK, see here)**, and we think it'll remain relatively resilient during momentum unwind. VKOSPI is still elevated as markets rotate away from the key hardware and bottleneck names, and broader equity performance has been pressured. Month-to-date, KOSPI2 is down around 34% and KOSPI2 excluding the major memory names is down 20%. In our view, the basket should remain comparatively resilient even as global volatility persists. Currently Korea's P/E is at a discount compared to its Asia peers (Figure 13). With additional policy support in place, including the dividend tax cut, the pick up in Value Up disclosures and the treasury share cancellation initiatives to improve valuation**, we reiterate our preference for the basket as a more defensive way to diversify exposure in a volatile environment while staying aligned with the continuation of Korea Value Up efforts.**

Figure 12: The Korea buyback basket has shown resilience during the recent momentum unwind - hypothetical basket performance since July 2025

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Basket was introduced on June 25, 2026. Past performance is not indicative of future returns.

Figure 13: Korea's P/E is at a discount to Asia ex-Japan and broader EM markets

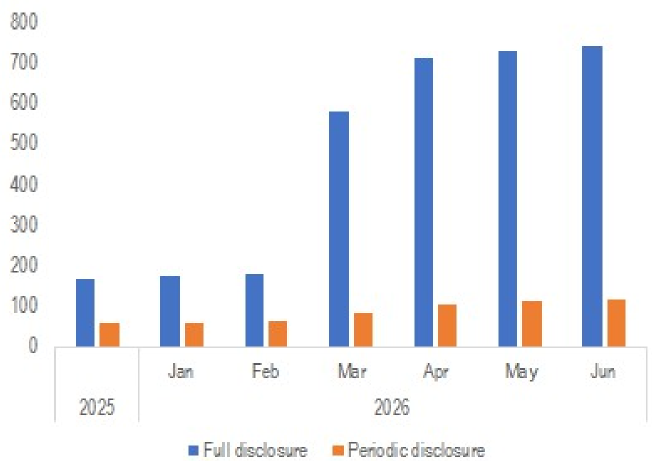


Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Fundamentally, Korea's Value Up program continues to gain traction, with disclosure momentum building. Since March, a growing number of companies have begun to publish Value Up plans (Figure 14), and investor participation has also scaled meaningfully. As of end-June 2026, the combined net asset value of the 13 Korea Value Up index-linked ETFs reached KRW4.2trn, up 762% since the index launch (see here).

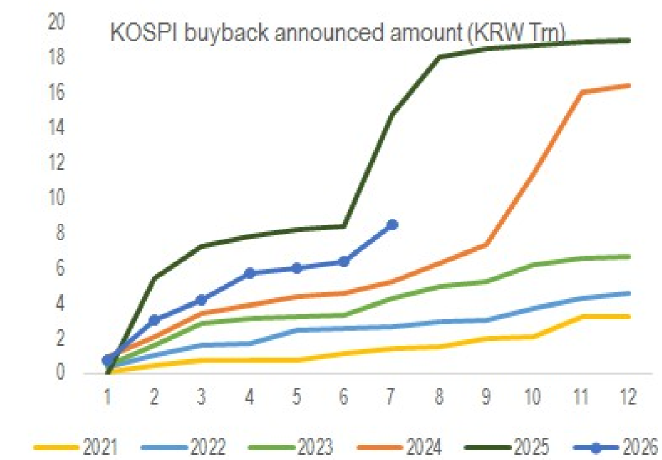
Alongside these disclosures, companies are more actively improving shareholder yield. Buybacks have stayed at a relatively high level across both announcements and execution, with announced buybacks at around KRW20tn last year and executed buybacks close to KRW19tn. Year to date, announced buybacks are KRW 8.5tn and executed buybacks are KRW 6.8tn (Figure 15 and Figure 16). Dividends and buybacks have been rising since 2025, and shareholder yield has continued to trend higher (Figure 16).

Figure 14: The number of companies disclosing Value Up progress has increased meaningfully since March 2026



Source: J.P. Morgan Equity Derivatives Strategy, KRX.

Figure 15: The announced buyback amount reached KRW 8.5trn year-to-date



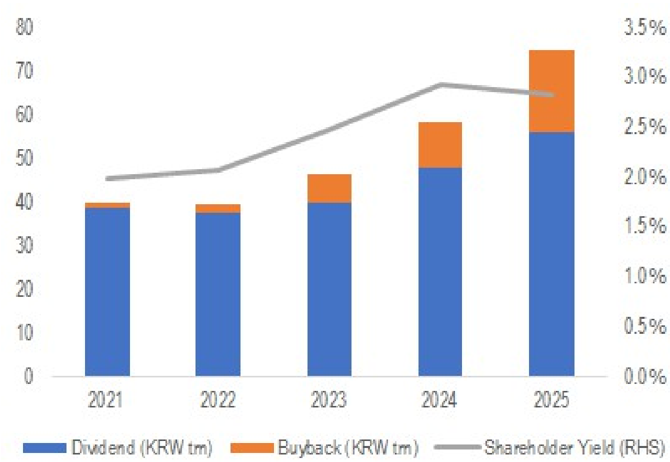
Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

The next step in buyback execution is also becoming more visible through treasury share cancellation, which directly supports ROE improvement. Korean corporates continue to hold sizable treasury stock. Based on KRX data, around KRW 20tn of treasury shares were cancelled in 2025 (Figure 18), and cancellation value has reached roughly KRW 42.5trn year-to-date (see here). While outstanding treasury shares have declined as a share of total market cap, they remain around 3% (Figure 19), suggesting further room for capital efficiency gains and improved shareholder returns.

Figure 16: The executed buyback amount reached KRW 6.8trn year-to-date

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 17: Shareholder yield has increased in absolute KRW terms

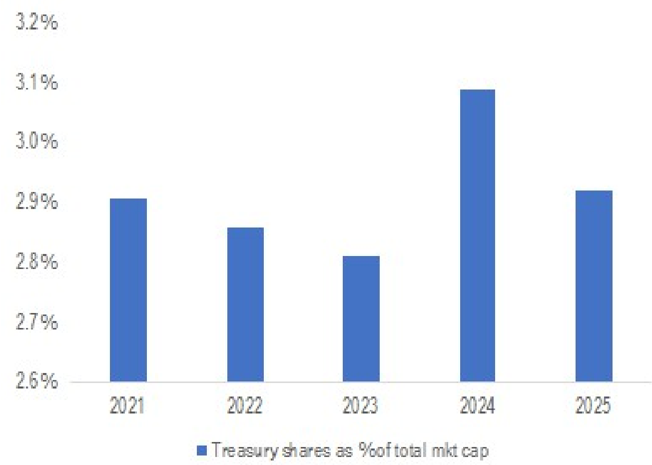


Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Note: Shareholder yield is calculated using market cap average at the beginning and end of each year.

Figure 18: Treasury share cancellation is gaining momentum

Source: J.P. Morgan Equity Derivatives Strategy, KRX.

Figure 19: While outstanding treasury shares have declined as a share of total market cap, they remain around 3%



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Policy support is also shifting from announcements to implementation. On buybacks, the direction is increasingly geared toward treasury share cancellation, including guidance that repurchased shares be cancelled within one year. On dividends, the dividend tax cut effective from January 2026 allows qualifying shareholders to elect separate taxation on dividends from high-dividend listed companies, lowering the effective income tax rate to a maximum of 30% versus the 45% top rate under comprehensive global income taxation (see here). In our view, these measures should strengthen incentives for higher dividends and support shareholder yield.

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Table 7: The Korea buyback basket (JPKRBUBK Index)

Ticker	GICS Sector	Name	JPM rating	3M ADTV (KRW bn)	2026 buyback ann. amt (KRW bn)	2026E div yield	2026E share holder return	12M forward P/B ratio	Weight
105560 KS	Financials	KB Financial Group Inc	OW	288.5	1,900	3.1%	6.5%	0.90	12.7%
055550 KS	Financials	Shinhan Financial Group Co Ltd	OW	172.4	1,200	3.1%	4.1%	0.74	12.4%
068270 KS	Health Care	Celltrion Inc	N	191.3	200	0.4%	0.9%	2.10	12.1%
086790 KS	Financials	Hana Financial Group Inc	OW	136.1	650	4.0%	5.9%	0.67	11.0%
010060 KS	Materials	OCI Holdings Co Ltd	NC	176.4	15	1.0%	1.5%	0.76	8.9%
012330 KS	Consumer Discretionary	Hyundai Mobis Co Ltd	OW	770.0	500	1.6%	2.8%	0.72	8.8%
066570 KS	Consumer Discretionary	LG Electronics Inc	N	1677.2	100	1.1%	1.5%	0.96	8.2%
267270 KS	Industrials	HD Construction Equipment Co L	NC	78.8	61	1.7%	2.8%	1.01	6.1%
259960 KS	Communication Services	Krafton Inc	OW	48.7	300	1.0%	3.7%	1.25	4.5%
138040 KS	Financials	Meritz Financial Group Inc	NC	42.1	900	1.1%	5.7%	1.38	3.6%
030200 KS	Communication Services	KT Corp	OW	32.9	250	4.6%	6.5%	0.68	2.8%
138930 KS	Financials	BNK Financial Group Inc	N	24.8	60	5.6%	6.9%	0.40	2.1%
175330 KS	Financials	JB Financial Group Co Ltd	NC	21.4	145	5.0%	8.0%	0.76	2.0%
011780 KS	Materials	Kumho Petrochemical Co Ltd	OW	17.5	30	2.4%	3.5%	0.43	1.4%
251270 KS	Communication Services	Netmarble Corp	N	12.6	83	3.2%	6.0%	0.49	1.1%
456040 KS	Materials	OCI Co Ltd	NC	14.7	10	2.4%	4.3%	0.42	1.0%
081660 KS	Consumer Discretionary	Misto Holdings Corp	NC	8.9	20	5.0%	5.9%	1.04	0.9%
462870 KS	Communication Services	SHIFT UP Corp	OW	6.1	20	0.0%	1.1%	1.90	0.3%

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Data as of 28 July 2026. Note on non-covered companies: This basket has been created to leverage the theme of this research report. It includes companies that are not covered by J.P. Morgan Research (marked"NC") and should not be viewed as a recommendation with respect to these companies.

We reiterate our Korea buyback screen, which applies two simple filters: open buyback programs and low price-to-book as a signal of valuation catch-up potential. The screen yields 19 names, with estimated liquidity of around US$150mn assuming 20% flow utilization, and the basket remains tilted to Financials at roughly 40% weight (Figure 20).

Within our Korea buyback basket, Financials have stood out for announcing additional Value-up measures during the 2Q26 earnings season. KB Financial declared a KRW 405bn quarterly cash dividend and a KRW 700bn buyback/treasury share cancellation program to be executed over the next six months, with a further KRW180bn to be returned via either an additional 2026 buyback or a higher year-end dividend (see here). Shinhan Financial also announced a KRW700bn three-month buyback/cancellation program and flagged the potential for an additional buyback in October, subject to earnings and CET1 (see here). Hana Financial Group unveiled Value-Up Plan 2.0—targeting higher ROE and a formula-based 50%+ TSR—while paying KRW308bn in cash dividends (KRW1,155 DPS) and announcing a KRW250bn buyback/cancellation program (see here). Collectively, these actions underscore the major financial groups' continued focus on ROE improvement and shareholder returns.

We think the Korea buyback basket (JPKRBUBK Index) can help diversify portfolio risk given its lower sensitivity to broad market moves. The basket has a 1Y beta of 0.7 vs. the KOSPI2 ex-major memory players and 0.5 vs. KOSPI2. To manage market exposure, investors could also consider shorting KOSPI2 ex-major memory

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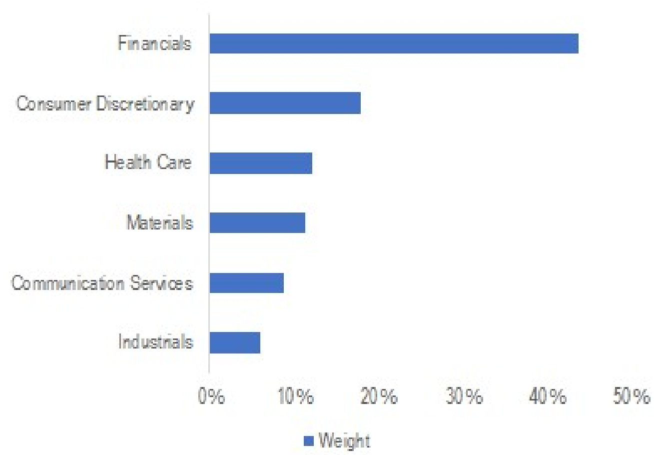
players as a hedge. With the basket's beta at 0.7 vs. KOSPI2 ex-major memory players, investors could scale the hedge notional accordingly.

Figure 20: The Korea buyback basket is overweight Financials and Consumer Discretionary



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 21: Price history of Korea buyback basket and proposed strikes

Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Given the higher volatility backdrop, investors could also consider using short vega structures to express a constructive view while improving carry. A call spread collar can be a favorable implementation, and we prefer a 3M or Oct26 tenor to align with a short- to medium-term horizon. Pricing as of Jul 28, 2026.

- **Buy JPKRBUBK Oct26 110%-125% call spread vs selling 90% put** for 0 cost (delta 45%, average implied vol 42v)

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Option Market Expectations for Jul-Aug Earnings

Hong Kong/China

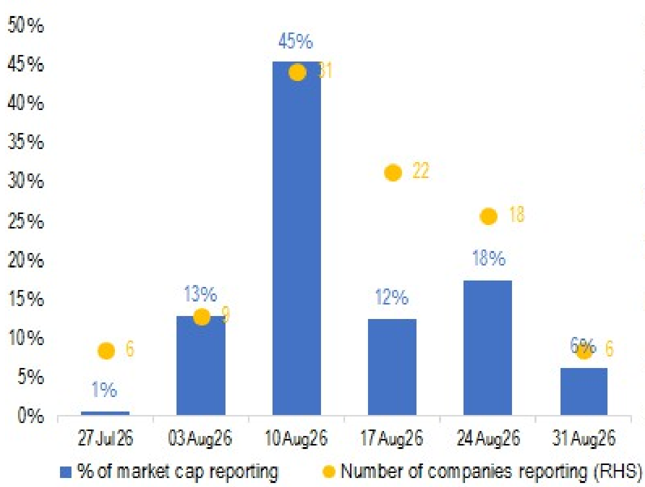
Reporting schedule: The July-August earnings season will reach its peak during the week of 10 August 2026, featuring earnings reports from 31 companies, accounting for 45% of the market cap in HSI and HSCEI.

Earnings-implied move: The market-cap-weighted average earnings-implied movement is currently 3%, higher than the average implied and realized moves for the July-August period. **Industrials**, **Real Estate** and **Health Care** are sectors where the current implied move is the lowest compared to historical realized, while **Information Technology, Communication Services** and **Utilities** are sectors where the current implied move is the highest compared to historical realized.

Seasonal pattern: Historically, the options market has shown a tendency to underprice earnings-related volatility for July-August earnings. Over the past three years, the market-cap-weighted average of realized volatility has exceeded expectations.

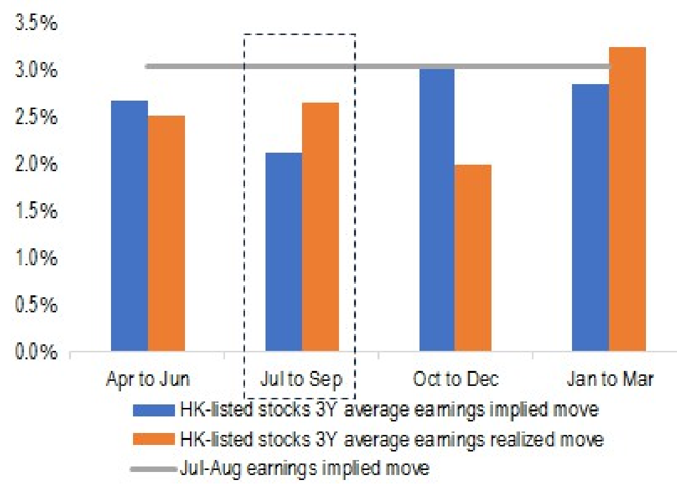
Cheap/expensive earnings-implied volatility names: Lenovo (992), Kuaishou (1024), and Wuxi Biologics (2269) are among the most expensive in terms of implied volatility. Conversely, Nongfu Spring (9633), Li Ning (2331), and BoC (2388) rank as the top companies by having earnings-implied movements below their historical medians.

Figure 22: Earnings calendar for HSI and HSCEI constituents



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

Figure 23: Average implied and realized earnings moves of liquid optionable universe of HK-listed stocks



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Note: Market-cap-weighted average for implied and realized moves.

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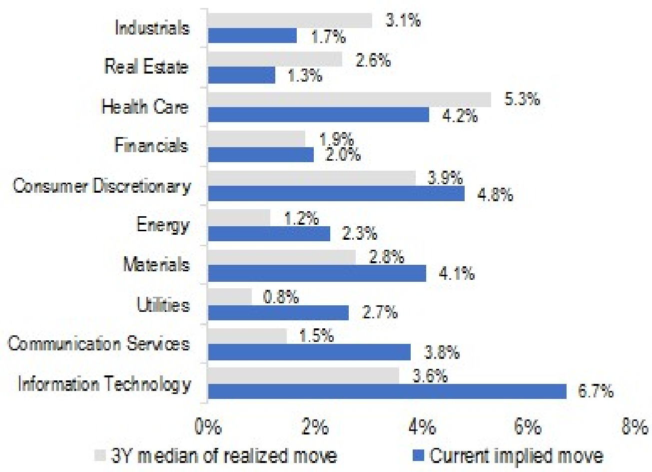
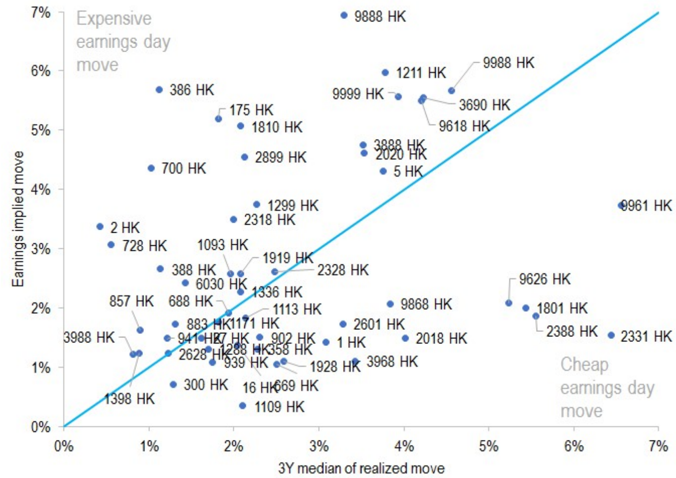
Figure 24: Current implied vs. historical median realized earnings moves for major sectors



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Note: Market-cap-weighted average for implied and realized moves. Excludes sectors with insufficient number of stocks. Data as of 28 Jul 2026.

Figure 25: Current implied vs. historical median realized earnings moves for major stocks



Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P. Data as of 28 Jul 2026.

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Table 8: Earnings implied vs. realized move analysis for liquid optionable universe of HK-listed stocks

Stock			Date		Volatility			Earnings Move (%)					
					Jul26	Aug26	1M	Implied Move		Realized Move			Mid Rlzd-Imp
Ticker	Name	Price	Date	Status	Implied	Implied	Realized	Size (%)	Px Chg	3Y median	3Y max	3Y min	Move
902 HK	Huaneng Power-H	6.0	29Jul26	E	29.8%	29.8%	38.0%	1.5%	0.09	2.3%	8.2%	0.7%	0.8%
669 HK	Techtronic Ind	128.0	04Aug26	C	20.7%	20.7%	30.3%	1.0%	1.33	2.5%	17.0%	0.7%	1.5%
5 HK	Hsbc Holdings Pl	161.8	04Aug26	C	20.3%	26.5%	12.8%	4.3%	6.98	3.8%	5.5%	1.4%	-0.6%
2 HK	Clp Holdings	77.7	06Aug26	C	67.1%	67.1%	13.4%	3.4%	2.62	0.4%	3.0%	0.0%	-3.0%
941 HK	China Mobile-H	83.1	07Aug26	E	14.1%	15.1%	12.1%	1.5%	1.24	1.2%	2.3%	0.1%	-0.3%
981 HK	Semiconductor-H	69.1	07Aug26	E	65.3%	71.5%	80.9%	7.9%	5.44	3.8%	8.2%	0.5%	-4.1%
27 HK	Galaxy Entertain	33.6	12Aug26	E	29.6%	29.6%	33.0%	1.5%	0.50	1.6%	5.1%	0.4%	0.1%
700 HK	Tencent	447.6	12Aug26	C	30.4%	34.6%	45.8%	4.4%	19.54	1.0%	6.8%	0.1%	-3.3%
992 HK	Lenovo Group	23.5	13Aug26	C	46.9%	56.7%	74.9%	8.2%	1.93	3.2%	19.8%	0.9%	-5.1%
1 HK	Ckh Holdings	72.4	14Aug26	E	28.4%	28.4%	30.3%	1.4%	1.03	3.1%	4.6%	0.6%	1.7%
1928 HK	Sands China Ltd	14.5	14Aug26	E	21.9%	21.9%	34.7%	1.1%	0.16	2.6%	5.2%	0.1%	1.5%
939 HK	Ccb-H	9.2	14Aug26	E	21.5%	21.5%	29.4%	1.1%	0.10	1.7%	2.9%	0.5%	0.7%
1288 HK	Abc-H	6.2	14Aug26	E	25.9%	25.9%	33.5%	1.3%	0.08	1.7%	3.1%	0.4%	0.4%
1113 HK	Ck Asset Holding	48.3	14Aug26	E	36.4%	36.4%	19.7%	1.8%	0.88	2.1%	10.7%	0.1%	0.3%
1171 HK	Yankuang Enrgy-H	11.7	14Aug26	E	34.9%	34.9%	48.4%	1.8%	0.21	1.8%	5.9%	0.0%	0.1%
2628 HK	China Life-H	27.8	14Aug26	E	24.4%	24.4%	54.9%	1.2%	0.34	1.2%	8.5%	0.2%	0.0%
3988 HK	Bank Of China-H	5.5	14Aug26	E	24.1%	24.1%	31.7%	1.2%	0.07	0.8%	2.8%	0.0%	-0.4%
1919 HK	Cosco Ship Hol-H	15.8	14Aug26	E	51.4%	51.4%	26.2%	2.6%	0.41	2.1%	7.0%	0.1%	-0.5%
1093 HK	Cspc Pharmaceuti	8.5	14Aug26	E	51.4%	51.4%	53.1%	2.6%	0.22	2.0%	14.4%	0.2%	-0.6%
857 HK	Petrochina-H	9.8	14Aug26	E	32.5%	32.5%	32.4%	1.6%	0.16	0.9%	4.1%	0.4%	-0.7%
3888 HK	Kingsoft Corp	24.8	14Aug26	E	37.4%	41.4%	40.3%	4.8%	1.18	3.5%	9.4%	0.6%	-1.2%
9618 HK	Jd-Sw	124.1	14Aug26	E	30.4%	37.2%	34.9%	5.5%	6.82	4.2%	10.0%	1.3%	-1.3%
3690 HK	Meituan-W	90.3	14Aug26	E	40.7%	45.8%	49.7%	5.6%	5.01	4.2%	12.6%	0.8%	-1.3%
9999 HK	Netease Inc	199.5	14Aug26	E	35.9%	41.7%	45.2%	5.6%	11.10	3.9%	13.0%	0.4%	-1.6%
1211 HK	Byd Company	90.0	14Aug26	E	31.0%	38.9%	47.2%	6.0%	5.37	3.8%	6.1%	0.4%	-2.2%
728 HK	China Telecom-H	4.7	14Aug26	E	60.9%	60.9%	25.6%	3.1%	0.15	0.6%	3.0%	0.0%	-2.5%
386 HK	Sinopec Corp-H	4.3	14Aug26	E	45.2%	49.9%	20.2%	5.7%	0.25	1.1%	2.4%	0.3%	-4.6%
175 HK	Geely Automobile	19.0	17Aug26	C	36.7%	41.7%	48.0%	5.2%	0.99	1.8%	5.2%	0.1%	-3.4%
1810 HK	Xiaomi Corp-W	29.2	18Aug26	C	42.0%	46.0%	54.7%	5.1%	1.48	2.1%	9.0%	0.3%	-3.0%
9992 HK	Pop Mart Interna	162.7	19Aug26	E	45.1%	56.1%	35.3%	8.5%	13.87	10.7%	22.5%	3.8%	2.2%
9868 HK	Xpeng Inc-A Shrs	49.5	19Aug26	E	41.1%	41.1%	55.8%	2.1%	1.02	3.8%	13.1%	0.0%	1.8%
388 HK	Hkex	403.0	19Aug26	C	19.9%	22.3%	18.4%	2.7%	10.69	1.1%	3.6%	0.5%	-1.5%
2382 HK	Sunny Optical	58.2	20Aug26	E	43.9%	55.8%	63.9%	8.8%	5.10	9.1%	13.2%	0.8%	0.3%
2318 HK	Ping An	57.2	20Aug26	C	22.1%	25.9%	28.0%	3.5%	2.00	2.0%	6.1%	0.1%	-1.5%
9888 HK	Bidu-Sw	101.2	20Aug26	E	39.1%	47.5%	51.5%	6.9%	7.02	3.3%	8.6%	0.2%	-3.6%
2331 HK	Li Ning Co Ltd	14.6	21Aug26	E	30.5%	30.5%	30.6%	1.5%	0.22	6.4%	8.8%	0.8%	4.9%
9626 HK	Bilibili Inc-Z	140.6	21Aug26	E	41.6%	41.6%	52.6%	2.1%	2.94	5.2%	16.5%	0.8%	3.1%
2018 HK	Aac Technologies	38.9	21Aug26	E	29.7%	29.7%	49.3%	1.5%	0.58	4.0%	13.2%	1.6%	2.5%
1299 HK	Aia	77.9	21Aug26	E	23.2%	27.4%	23.6%	3.7%	2.91	2.3%	5.9%	0.4%	-1.5%
2899 HK	Zijin Mining-H	32.4	21Aug26	C	34.9%	38.8%	53.7%	4.6%	1.47	2.1%	5.0%	0.2%	-2.4%
1024 HK	Kuaishou-W	42.4	21Aug26	E	42.8%	52.6%	74.7%	7.8%	3.32	3.0%	14.0%	0.9%	-4.8%
358 HK	Jiangxi Copper-H	34.3	25Aug26	C	26.0%	26.0%	71.1%	1.3%	0.45	2.3%	8.6%	0.5%	1.0%
2269 HK	Wuxi Biologics C	38.6	25Aug26	C	39.5%	48.7%	45.0%	7.3%	2.82	2.5%	8.5%	1.2%	-4.8%
9633 HK	Nongfu Spring -H	41.8	26Aug26	E	33.9%	33.9%	42.7%	1.7%	0.71	7.7%	10.4%	1.1%	6.0%
2020 HK	Anta Sports	76.9	26Aug26	C	26.5%	32.0%	27.3%	4.6%	3.55	3.5%	9.7%	1.0%	-1.1%
1801 HK	Innovent Biologi	90.0	27Aug26	E	39.9%	39.9%	50.1%	2.0%	1.80	5.4%	17.4%	0.4%	3.4%
9961 HK	Trip.Com Group L	350.0	27Aug26	E	34.0%	36.6%	50.5%	3.7%	13.05	6.6%	11.9%	0.8%	2.8%
688 HK	China Overseas	13.4	27Aug26	E	38.2%	38.2%	42.4%	1.9%	0.26	1.9%	6.5%	0.1%	0.0%
2328 HK	Picc P&C-H	16.2	27Aug26	E	51.8%	51.8%	38.5%	2.6%	0.42	2.5%	3.2%	1.0%	-0.1%
883 HK	Cnooc-H	23.1	27Aug26	E	34.3%	33.4%	34.6%	1.7%	0.40	1.3%	4.1%	0.1%	-0.4%
1109 HK	China Res Land	33.6	28Aug26	C	6.8%	6.1%	42.1%	0.3%	0.11	2.1%	5.2%	0.9%	1.8%
2601 HK	China Pacific-H	30.1	28Aug26	E	34.5%	34.5%	38.9%	1.7%	0.52	3.3%	5.8%	0.2%	1.5%
1336 HK	New China Life-H	47.5	28Aug26	E	45.2%	45.2%	53.1%	2.3%	1.08	2.1%	7.4%	0.8%	-0.2%
6030 HK	Citic Sec-H	27.2	28Aug26	E	48.1%	48.1%	42.9%	2.4%	0.66	1.4%	2.7%	0.3%	-1.0%
9988 HK	Baba-W	112.4	28Aug26	E	38.5%	44.2%	54.1%	5.7%	6.37	4.6%	18.5%	1.0%	-1.1%
2015 HK	Li Auto Inc-A	49.6	28Aug26	E	38.9%	50.5%	40.6%	8.2%	4.05	6.0%	25.4%	1.2%	-2.2%
1398 HK	Icbc-H	7.4	29Aug26	C	24.4%	24.4%	29.4%	1.2%	0.09	0.9%	2.9%	0.5%	-0.4%
2388 HK	Boc Hong Kong	52.0	31Aug26	E	36.9%	36.9%	30.1%	1.9%	0.97	5.6%	9.5%	0.7%	3.7%
3968 HK	Cm Bank-H	49.8	31Aug26	E	21.8%	21.8%	24.3%	1.1%	0.55	3.4%	5.5%	0.9%	2.3%
300 HK	Midea Group Co-H	96.5	31Aug26	E	14.1%	14.1%	26.8%	0.7%	0.68	1.3%	6.8%	0.5%	0.6%
16 HK	Shk Ppt	121.2	04Sep26	E	27.3%	28.5%	26.3%	1.4%	1.66	2.0%	7.1%	0.8%	0.7%

Note: Data as of 28 July 2026. C = confirmed. E = expected.
Source: J.P. Morgan Equity Derivatives Strategy, Bloomberg Finance L.P.

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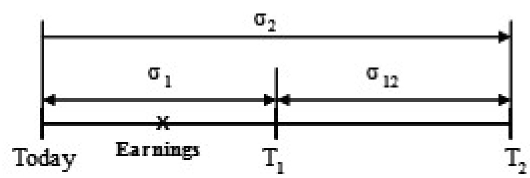
Appendix: Methodology for earnings-day volatility analysis

In order to ascertain the expected size of an earnings-related move, one must back out the contribution to implied volatility that comes from the earnings announcement. This is determined by measuring the difference between implied volatility over the time period that includes the earnings announcement date and the time period that does not. The earnings announcement date can fall either before the maturity of the first-month contract or between the maturities of the first- and next-month contracts. The contribution to volatility that comes from the earnings announcement is calculated as follows:

If the **earnings announcement falls before the maturity of the first-month contract**, earnings-related volatility will cause both the first- and the next-month implied volatilities to become elevated by σ_1 and σ_2. However, the difference in volatility between the expiration of the first- and second-month contracts (forward volatility) σ_{12} is not affected by the earnings report.



Mathematically, forward volatility can be expressed as:

$$\sigma_{12} = \sqrt{\frac{\sigma_2^2 T_2 - \sigma_1^2 T_1}{T_2 - T_1}}$$

Here, T_1 and T_2 equal the time to maturity of the first- and second-month contracts, respectively. First-month volatility equals the sum[2] of the volatilities unaffected by the earnings (forward volatility) and the contribution to volatility resulting from the earnings announcement $\sigma_{Earnings}$. Therefore, the contribution to the volatility resulting from the earnings announcement ($\sigma_{Earnings}$) equals the difference between the first-month volatility and the forward volatility:

$$\sigma_{Earnings} = \sqrt{T_1(\sigma_1^2 - \sigma_{12}^2)} = \sqrt{(\sigma_1^2 - \sigma_2^2)\frac{T_2 T_1}{T_2 - T_1}}$$

The above contribution to the volatility resulting from the earnings announcement ($\sigma_{Earnings}$) is the *excess* amount on top of the volatility not affected by the earnings report, the forward volatility $\sigma_{12.}$ To arrive at the *total* volatility implied by the options market (σ_{Total}), we use the following relationship:

$$\sigma_{Total} = \sqrt{\sigma_{Earnings}{}^2 + \sigma_{Unaffected}{}^2} = \sqrt{\sigma_{Earnings}{}^2 + \sigma_{12}{}^2}$$

2. The sum of uncorrelated normally distributed random variables, added to a normally distributed random variable whose variance is the sum of variances and the average sum of the averages.

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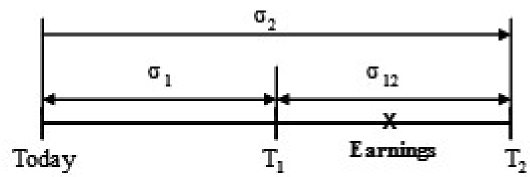
Alternatively, if the **earnings announcement falls after the maturity of the first-month contract**, earnings-related volatility affects the next-month implied volatility (σ_2) only.



The next-month volatility is the sum of the volatility unaffected by earnings (first-month volatility) and the contribution resulting from the earnings announcement ($\sigma_{Earnings}$). In this scenario, the contribution to volatility resulting from the earnings announcement ($\sigma_{Earnings}$) equals the difference between the second-month volatility and the first-month volatility:

$$\sigma_{Earnings} = \sqrt{T_2(\sigma_2^2 - \sigma_1^2)}$$

The above contribution to the volatility resulting from the earnings announcement ($\sigma_{Earnings}$) is the *excess* amount on top of the volatility not affected by the earnings report, the first-month volatility $\sigma_{1.}$ To arrive at the *total* volatility implied by the options market (σ_{Total}), we use the following relationship:

$$\sigma_{Total} = \sqrt{\sigma_{Earnings}{}^2 + \sigma_{Unaffected}{}^2} = \sqrt{\sigma_{Earnings}{}^2 + \sigma_1{}^2} \qquad (5)$$

After calculating the total volatility (σ_{Total}) either from expressions (3) or (5), we can calculate the **implied size of any earnings-related stock price move** as[3]:

$$\langle |r| \rangle = \sqrt{\frac{2}{\pi}} \cdot \sigma_{Total}$$

3. The expectation value is calculated under the assumption of normally distributed returns with standard deviation equal to σ_{Total}. The factor $\sqrt{(2/\pi)} = 0.7979$ is derived from the integration over the normal distribution.

Risks of Common Option Strategies

Risks to Strategies: Not all option strategies are suitable for investors; certain strategies may expose investors to significant potential losses. We have summarized the risks of selected derivative strategies. For additional risk information, please call your sales representative for a copy of "Characteristics and Risks of Standardized Options." We advise investors to consult their tax advisors and legal counsel about the tax implications of these strategies. Please also refer to option risk disclosure documents.

Put Sale: Investors who sell put options will own the underlying asset if the asset's price falls below the strike price of the put option. Investors, therefore, will be exposed to any decline in the underlying asset's price below the strike potentially to zero, and they will not participate in any price appreciation in the underlying asset if the option expires unexercised.

Call Sale: Investors who sell uncovered call options have exposure on the upside that is theoretically unlimited.

Call Overwrite or Buywrite: Investors who sell call options against a long position in the underlying asset give up any appreciation in the underlying asset's price above the strike price of the call option, and they remain exposed to the downside of the underlying asset in the return for the receipt of the option premium.

Booster : In a sell-off, the maximum realized downside potential of a double-up booster is the net premium paid. In a rally, option losses are potentially unlimited as the investor is net short a call. When overlaid onto a long position in the underlying asset, upside losses are capped (as for a covered call), but downside losses are not.

Collar: Locks in the amount that can be realized at maturity to a range defined by the put and call strike. If the collar is not costless, investors risk losing 100% of the premium paid. Since investors are selling a call option, they give up any price appreciation in the underlying asset above the strike price of the call option.

Call Purchase: Options are a decaying asset, and investors risk losing 100% of the premium paid if the underlying asset's price is below the strike price of the call option.

Put Purchase: Options are a decaying asset, and investors risk losing 100% of the premium paid if the underlying asset's price is above the strike price of the put option.

Straddle or Strangle: The seller of a straddle or strangle is exposed to increases in the underlying asset's price above the call strike and declines in the underlying asset's price below the put strike. Since exposure on the upside is theoretically unlimited, investors who also own the underlying asset would have limited losses should the underlying asset rally. Covered writers are exposed to declines in the underlying asset position as well as any additional exposure should the underlying asset decline below the strike price of the put option. Having sold a covered call option, the investor gives up all appreciation in the underlying asset above the strike price of the call option.

Put Spread: The buyer of a put spread risks losing 100% of the premium paid. The buyer of higher-ratio put spread has unlimited downside below the lower strike (down to zero), dependent on the number of lower-struck puts sold. The maximum gain is limited to the spread between the two put strikes, when the underlying is at the lower strike. Investors who own the underlying asset will have downside protection between the higher-strike put and the lower-strike put. However, should the underlying asset's price fall below the strike price of the lower-strike put, investors regain exposure to the underlying asset, and this exposure is multiplied by the number of puts sold.

Call Spread: The buyer risks losing 100% of the premium paid. The gain is limited to the spread between the two strike prices. The seller of a call spread risks losing an amount equal to the spread between the two call strikes less the net premium received. By selling a covered call spread, the investor remains exposed to the downside of the underlying asset and gives up the spread between the two call strikes should the underlying asset rally.

Butterfly Spread: A butterfly spread consists of two spreads established simultaneously – one a bull spread and the other a bear spread. The resulting position is neutral, that is, the investor will profit if the underlying is stable. Butterfly spreads are established at a net debit. The maximum profit will occur at the middle strike price; the maximum loss is the net debit.

Pricing Is Illustrative Only: Prices quoted in the above trade ideas are our estimate of current market levels, and are not indicative trading levels.

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